

USDA Foreign Agricultural Service

# GAIN Report

Global Agricultural Information Network

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## Malaysia

## Oilseeds and Products Update

## PS&D Update

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**Report Highlights:**

Due to an unusual and unexpected spike in production during the months of March, April and May 2014, and with expectations for average production during the final 4 months of the marketing year, the 2013/14 production forecast is increased from 19.4 to 19.9 million tons. Slight adjustments to use and stocks were made to reflect the higher domestic supply situation.

**Post:**

Kuala Lumpur

**Palm Oil Production, Supply, and Demand Table**

| Oil, Palm Malaysia           | 2012/2013                   |          | 2013/2014                   |          | 2014/2015                   |          |
|------------------------------|-----------------------------|----------|-----------------------------|----------|-----------------------------|----------|
|                              | Market Year Begin: Oct 2012 |          | Market Year Begin: Oct 2013 |          | Market Year Begin: Oct 2014 |          |
|                              | USDA Official               | New Post | USDA Official               | New Post | USDA Official               | New Post |
| <b>Beginning Stocks</b>      | 2,481                       | 2,481    | 1,784                       | 1,784    | 1,604                       | 1,854    |
| <b>Production</b>            | 19,321                      | 19,321   | 19,400                      | 19,900   | 20,350                      | 20,350   |
| <b>MY Imports</b>            | 957                         | 957      | 250                         | 300      | 250                         | 250      |
| <b>Total Supply</b>          | 22,759                      | 22,759   | 21,434                      | 21,984   | 22,204                      | 22,454   |
| <b>MY Exports</b>            | 18,524                      | 18,524   | 17,300                      | 17,400   | 17,700                      | 17,700   |
| <b>Industrial Dom. Cons.</b> | 1,781                       | 1,781    | 1,850                       | 2,050    | 2,050                       | 2,100    |
| <b>Food Use Dom. Cons.</b>   | 630                         | 630      | 640                         | 640      | 650                         | 650      |
| <b>Feed Waste Dom. Cons.</b> | 40                          | 40       | 40                          | 40       | 40                          | 40       |
| <b>Total Dom. Cons.</b>      | 2,451                       | 2,451    | 2,530                       | 2,730    | 2,740                       | 2,790    |
| <b>Ending Stocks</b>         | 1,784                       | 1,784    | 1,604                       | 1,854    | 1,764                       | 1,964    |
| <b>Total Distribution</b>    | 22,759                      | 22,759   | 21,434                      | 21,984   | 22,204                      | 22,454   |

Total production for the months of March, April and May 2014 was 4.7 million tons, 0.7 tons more than the same period recorded in 2013, an increase of 17.5 percent. This spike in production for those months was unusual as this period is usually one of the lowest production points of the year. The growth in production may stem from the fact that in 2013 there were less weather anomalies and natural disasters in producing regions. Favorable weather patterns for the last 12 months promoted the growth and ripening of palm fruits and helped boost yields during March, April and May. In addition, evidence points to more than originally estimated mature area in Sarawak contributing to growth in output.